BRITISH DOCUMENTS ON FOREIGN AFFAIRS:

REPORTS AND PAPERS FROM THE FOREIGN OFFICE CONFIDENTIAL PRINT

GENERAL EDITORS
PAUL PRESTON and MICHAEL PARTRIDGE

PART IV

From 1946 through 1950

SERIES E

ASIA

1950

EDITOR
ANTHONY BEST

Volume 10

China, Japan, Siam, Indo-China and Korea January 1950–December 1950

UNIVERSITY PUBLICATIONS OF AMERICA
An Imprint of LexisNexis Academic & Library Solutions

THIS DOCUMENT IS THE PROPERTY OF HIS BRITANNIC MAJESTY'S GOVERNMENT

Printed for the use of the Foreign Office

SECRET
(18405)

FURTHER CORRESPONDENCE

RESPECTING

CHINA

PART 4

January to December 1950

FC 1025/1 No. 5

ANGLO-CHINESE RELATIONS

(1)

Mr. Bevin to Mr. Hutchison (Peking)

(No. 1) *Foreign Office,*
(Telegraphic) *15th February,* 1950.

My telegram No. 246 to Nanking.

On 30th December the Governor of Hong Kong received a letter from Chief Justice, Hong Kong, in which latter explained that, in cases involving the disputed ownership of China National Airways Corporation and Central Air Transport Corporation aircraft, issues would inevitably arise as to what Governments were at various dates recognised as the *de jure* or *de facto* Governments of China. The status of Formosa might also be relevant to the cases before the Court. Questionnaire was enclosed for reference to me with request for reply.

2. My two immediately following telegrams give text of questionnaire and my reply.

3. Reply will probably be produced in Hong Kong Court in the next few days. Until then questionnaire and reply will remain confidential.

FC 1025/1 (2)

Mr. Bevin to Mr. Hutchison (Peking)

(No. 2) *Foreign Office,*
(Telegraphic) *15th February,* 1950.

My immediately preceding telegram.

Following is text of questionnaire:—

(1) Does His Majesty's Government recognise the Republican Government of China (the Nationalist Government) as the *de jure* Government of China?

(2) If not, when did His Majesty's Government cease so to recognise that Government?

(3) Is the Central People's Government or any other Government recognised as the *de jure* Government and, if so, from what date?

(4) Has the Republican Government ceased to be the *de facto* Government (either at time of moving seat of Government to Formosa or otherwise) and, if so, from what date?

(5) Is any other Government recognised as the *de facto* Government and, if so, from what date?

(6) What is the status of Formosa? Is Formosa part of China or is it foreign territory *vis-à-vis* China?

FC 1025/1 (3)

Mr. Bevin to Mr. Hutchison (Peking)

(No. 3) *Foreign Office,*
(Telegraphic) *15th February,* 1950.

My immediately preceding telegram.

The following are my answers to questionnaire:—

(1) His Majesty's Government in the United Kingdom do not recognise the Nationalist Government (Republic Government) as the *de jure* Government of the Republic of China.

(2) Up to, and including midnight of the 5th–6th January, 1950, His Majesty's Government recognised the Nationalist Government as being the *de jure* Government of the Republic of China and as from midnight of 5th–6th January, 1950, His Majesty's Government ceased to recognise the former Nationalist Government as being the *de jure* Government of the Republic of China.

(3) As from midnight of 5th–6th January, 1950, His Majesty's Government recognised the Central People's Government as the *de jure* Government of the Republic of China.

(4) His Majesty's Government recognise that the Nationalist Government has

ceased to be the *de facto* Government of the Republic of China. It ceased to be the *de facto* Government of different parts of the territory of the Republic of China as from the dates on which it ceased to be in effective control of those parts.

(5) His Majesty's Government do not recognise any Government other than the Central People's Government of the People's Republic of China as the *de facto* Government of the Republic of China. Attention, however, is invited to the second sentence of the answer to Question (4).

(6) In 1943, Formosa was part of the territory of the Japanese Empire and His Majesty's Government consider that Formosa is still *de jure* part of that territory. On 1st December, 1943, at Cairo, President Roosevelt, Generalissimo Chiang Kai-shek and Prime Minister Churchill declared that all the territories that Japan has stolen from the Chinese, including Formosa, should be restored to the Republic of China. On 26th July, 1945, at Potsdam, the Heads of the Governments of the United States of America, the United Kingdom and the Republic of China reaffirmed that " the terms of the Cairo Declaration shall be carried out." On 25th October, 1945, as a result of an Order issued on the basis of consultation and agreement between the Allied Powers concerned, the Japanese forces in Formosa surrendered to Chiang Kai-shek. Thereupon, with the consent of the Allied Powers, administration of Formosa was undertaken by the Government of the Republic of China. At present, the actual administration of the Island is by Wu Kuo-Cheng, who has not, so far as His Majesty's Government are aware, repudiated the superior authority of the Nationalist Government.

FI 0338/52 No. 6

SINO-SOVIET RELATIONS

Treaty of Friendship, Alliance and Mutual Assistance

Mr D. Kelly to Mr Bevin (Received 15th February)

(No. 94) *Foreign Office*
(Telegraphic) *20th February, 1950*

My telegram No. 141 Sino-Soviet Agreements.

The Treaty of Friendship, Alliance and Mutual Assistance pledges the contracting parties in five articles

(a) To prevent aggression on the part of Japan or any State allied with Japan, and to assist each other in the event of such aggression, and to co-operate in all international actions aimed at ensuring peace and security.

(b) To expedite signature of a Japanese peace treaty, jointly with other Powers allied during the second world war.

(c) Not to take part in alliances, coalitions or measures directed against the other.

(d) To consult each other on all important international matters affecting their common interests.

(e) To develop economic and cultural ties with each other on a basis of " equal rights, reciprocal interests and mutual respect for sovereignty and territorial integrity and non-interference in internal affairs."

2. Treaty is for thirty years with automatic extension for periods of five years unless denounced.

3. Agreement on the Chang Chun Railway, Port Arthur and Dairen provides that

(a) All Soviet rights in the existing administration of the railway and all railway property shall be transferred to China without compensation on signature of Japanese peace treaty or in any case by the end of 1952; meanwhile major posts to be held in rotation.

(b) Soviet troops shall be withdrawn from Port Arthur and installations transferred to China on signature of Japanese treaty or by 1952 with compensation to Soviet Union for reconstruction and installations carried out since 1945; meanwhile

upon the Chinese Government on Formosa to cease all air and sea operations against the mainland. The Seventh Fleet will see that this is done. The determination of the future status of Formosa must await the restoration of security in the Pacific, a peace settlement with Japan, or consideration by the United Nations.

I have also directed that United States forces in the Philippines be strengthened and that military assistance to the Philippine Government be accelerated.

I have similarly directed acceleration in the furnishing of military assistance to the forces of France and the Associated States in Indo-China and the dispatch of a military mission to provide close working relations with those forces.

I know that all members of the United Nations will consider carefully the consequences of this latest aggression in Korea in defiance of the Charter of the United Nations. A return to the rule of force in international affairs would have far reaching effects. The United States will continue to uphold the rule of law.

I have instructed Ambassador Austin, as the representative of the United States to the Security Council, to report these steps to the Council.

FC 1016/88 No. 31

FORMOSA POLITICAL SUMMARY FOR JUNE 1950

Consul Biggs to Mr. Bevin. (*Received 4th August*)

(No. 69) *Tamsui,*
Sir, *11th July,* 1950.

I have the honour to refer to my despatch No. 65 of 15th June, 1950, and to submit a summary of events in Formosa during the month of June 1950.

I have, &c.
E. T. BIGGS.

Enclosure in No. 31

Summary of Events in Formosa during the Month of June 1950

Political

An atmosphere of increasing tension permeated Formosa during June. Although the Governor expressed confidence that no invasion would take place this year and others too inclined to the belief that Communists would be obliged to postpone their invasion until next spring, there was a growing realisation that without American intervention an invasion must sooner or later be faced. In consequence wealthy mainlanders increased their efforts to get away and the Provincial Government by the imposition of patriotic bond levies increased their efforts to stop them or at least mulct them of some their wealth before they left. The internal witch hunt for spies and traitors was stepped up, air raid tests were intensified and naval and air patrols increased; even merchant ships on the high seas being challenged and investigated. The report of the arrival of nineteen landing craft in Shanghai caused considerable anxiety and it was feared that the Communist closure of Shanghai after the sinking of two foreign vessels might in reality be intended to hide invasion preparations. It was also feared that the attack on Korea might cover an invasion of Formosa.

2. Anxiety for American aid was betrayed in the increasing attention paid in the press to every hint of a change in American opinion. The visit of the American Secretary of Defence, Chairman of the Joint Chiefs of Staff and Mr. Dulles to Japan was given great publicity and there was much speculation over the possible discussion of the Formosa question, on which MacArthur was known to have strong views. The Nationalist Government were most anxious that the new chief of their Mission in Tokyo, General Ho Shih-li, should receive an interview with Johnson and Bradley to put forward Formosa's case from the Nationalist point of view, and when the expected invitation did not arrive, General Ho, himself applied for an interview. This request also appears to have been ignored and the Nationalists were obviously disappointed at the slight. They remained confident, however, that the Formosa question had been discussed and that a change in American policy would follow, and as events have proved, this confidence was justified.

3. The attack on Korea came as a *Dous ex Machina* to the Nationalists. It forced the Americans to make a stand in the West Pacific and bring Formosa into their defence system. It also brought into the open the conflict between the Communist and Anti-Communist forces in the Far East and in the view of the Chinese Nationalists aligned

America actively on the side of Nationalist China in her war against the Chinese Communists. The Nationalists therefore foresaw the formation of an Anti-Communist Pacific Pact to strengthen them in this war. Finally they welcomed the Korean affair as bringing much nearer the chances of a world conflict which would offer the best opportunity for them to return to power on the mainland.

4. President Truman's announcement on 27th June that the occupation of Formosa by Communist forces would constitute a direct threat to the security of the Pacific area and to the United States forces there and that the American Seventh Fleet had therefore been ordered to prevent such an invasion, was enthusiastically welcomed as the change in American policy for which the Nationalists have for so long been praying. This announcement removed at a stroke the threat of invasion and Communist rule which had been hanging over the people, and an immediate sense of relief and exhilaration was evident. The Formosans are jubilant at the prospects of American intervention and possible settlement of their future at the United Nations, as indicated in the statement. Hopes have been revived that they may after all be delivered from Chinese rule and a certain self-confidence, almost cockiness, has returned to them. Some even talk hopefully of a return to Japanese rule.

5. On soberer thought the Nationalists have found considerable grounds for dissatisfaction and real anxiety in Mr. Truman's statement. Although they welcomed the security of America's guarantee of Formosa, they were greatly disappointed at the American stipulation that they should cease all naval and air operations against the mainland and thus renounce their dreams of an early return to power, and complaints are already being voiced that America has nipped in the bud a chance of a Chinese Nationalist come-back. The Nationalists were sorely hurt moreover by the blunt manner in which Mr. Truman stated that the Seventh Fleet had been ordered to see that this cease fire was carried out. The greatest anxiety has been caused, however, by Mr. Truman's reference to the status of Formosa. They fear that America may alter the status of Formosa and in consequence cease to recognise the Nationalists in Formosa as the heirs to a " re-liberated " mainland. The marked manner in which the Chinese Nationalists were ignored in Tokyo, when the present action towards Formosa was obviously discussed, tends to confirm that America's policy towards Formosa is only designed to deny Formosa to Communist China and is in no way intended to support the Kuomintang.

6. Mr. Acheson has explained that the American action is not intended to determine the future status of Formosa, which can only be settled upon restoration of peace and security in the Pacific, a peace settlement with Japan, or consideration by the United Nations. This appears to be a modification, if not a reversal, of his previous stand when he " wrote-off " Formosa, that the island was part of China. It appears that America's present policy is to avoid commitments either way regarding Formosa's status and keep the island metaphorically on ice. It is more than probable that they have not yet faced up to the enormous problem presented by the presence of the Nationalist Government and armed forces and nearly 1 million Chinese refugees in the island, nor decided whether to use the Nationalist armed forces for the defence of Formosa, or alternatively what to do with these forces and how to defend the island if they do not do so. The Americans will, therefore, wish to leave themselves free to use or not use the Nationalists as developments require. But if the island is to come within the American defence zone and become an American responsibility for defence, the Americans may well try gradually to reduce the control of the Nationalist Central Government over Formosa and place the Provincial Government in the hands of Formosans under American supervision. The American diplomatic representative in Formosa does not appear to have received any indication of American policy on the Formosan internal question, but has hinted at the possibility of development on these lines.

7. In reply to the American aide-mémoire transmitting Mr. Truman's proposals, the Chinese Nationalist Minister for Foreign Affairs gave the Nationalist Government's acceptance and announced that orders had already been given to suspend naval and air operations. He made the following reservations, however: —

(i) that America was merely sharing with the Nationalist Government the responsibility for the defence of Formosa pending a peace treaty with Japan;

(ii) that Formosa is acknowledged as a part of the territory of China and that

the American proposal should *in no* way alter the status of Formosa as envisaged in the Cairo Declaration nor affect China's authority over Formosa;

(iii) that the American proposals are emergency measures to cope with the present critical situation and that if they prove inadequate to *suppress* Communist aggression in a reasonably short time, the Nationalist Government in conjunction with other Governments will seek more effective measures;

(iv) that in accepting these proposals the Nationalist Government does not intend to depart from its policy of resistance against Communist aggression and maintenance of the territorial integrity of China.

8. The Premier, in a statement designed principally for internal consumption, warned the people and the armed forces that they must not slacken in their efforts on account of the emergency measures courageously taken by the United States for the security of the Pacific regions, and asserted that the policy of fighting communism and Soviet aggression would be carried on to restore Chinese sovereignty and recover the lost territories. General Ho Ying-chin made a similar statement that the proposals must not affect plans for an eventual counter offensive. It is evident from these statements that the Nationalists will try to continue their attempts to regain the mainland from their American protected island retreat and although it is understood that the Ministry for Foreign Affairs has agreed to suspend the enforcement of their port closure measures on foreign shipping, the naval commander-in-chief is reported to have said that the blockade will go on. A newspaper report has also explained that a blockade, being a passive measure, was not included in the agreement to suspend offensive operations against the mainland.

9. The press has naturally welcomed America's prompt action. The Provincial Government mouthpiece, *Hsin Sheng Pao*, explained at length that America did not really intend to question the status of Formosa and that the latter had only been mentioned in the Truman proposals in order to give legal basis to the American emergency measures. The Kuomintang *Chung Hua Jih Pao*, however, was more outspoken. It criticised the reference to Formosa's status and regretted the suspension of Chinese Nationalist offensive operations and the over-emphasis on defence. The Formosan-operated *Kung Lun Pao* welcomed the change in American policy in the Pacific from one of weakness to strength and now that the security of Formosa has been vouchsafed, urged that attention be paid to internal reconstruction and administrative reforms. Most journals agree that the Korean incident, although it may be protracted, will not lead to a general war as Russia is not yet prepared to fight. They regard Formosa as the vital area and consider that a Communist attack on Formosa, which will only come when Russia is prepared herself to fight, will be the signal for the third world war. All journals have stressed the need for a joint line of defence in the Pacific or an anti-Communist Pacific Pact which will discourage further Communist attacks.

10. When news was received of the attack on Korea the Minister for Foreign Affairs instructed the Chinese Nationalist delegate at the United Nations to support South Korea and the Premier pledged support for the republic and urged that all countries having direct interests in the Far East should take effective steps to check this aggression. Chiang Kai-shek also expressed his wish to support Korea in concert with the United Nations and subsequently offered 33,000 troops. America, fearing embarrassment from the presence of Nationalist troops in Korea, has procrastinated by advising that the Nationalists first consult with General MacArthur over the defence of Formosa, for which these troops might be needed. This argument scarcely accords with frequent American statements that Chiang Kai-shek had more troops in Formosa than were necessary for its defence, or than the island's economy could bear. The Chinese Ambassador to Korea set out for Formosa to confer on aid to Korea but has been ordered back to his post. General Chennault's Civil Air Transport has offered its services to fly materials to South Korea.

11. Formosa will also benefit in a more material way from the outbreak of hostilities in Korea. The U.S. $40 million E.C.A. aid for the financial year beginning on 1st July will now probably be considerably increased and certain long-term projects which had been left in abeyance on account of the uncertain future of Formosa, will no doubt be undertaken. In addition U.S. $25 million of supplies destined for South Korea, including 20,000 tons of

fertiliser, are being diverted to Formosa and the first shipment of fertiliser has already arrived at Keelung. U.S. $1 million worth of E.C.A. medicines were distributed in Formosa during 1949.

12. The Tokyo conference revived public interest in the question of a Japanese peace treaty. All journals urged an early peace with Japan and advocated the retention of bases by the United States to defend Japan and ensure that Japanese military and economic development will not menace the security of the other Far Eastern nations. The Chinese Nationalist Government is also reported to have no objection to the use of bases in Japan by the United States. General Ho Shih-li, who has succeeded General Chu Shi-ming as chief of the Chinese Mission to Japan, left for Tokyo on 10th June. On his departure he also advocated an early peace with Japan. General Chu, who had been offered the post of Administrative Vice Minister of National Defence, has refused the appointment. General Ho is reported to have found great confusion and an excessive degree of the usual "inefficiency and corruption" in the overstaffed Chinese Mission and to be now engaged in a thorough house cleaning. General Wu Te-chen returned on 7th June from a further visit to Korea and Japan on his Far Eastern goodwill mission. Overseas Chinese in the Philippines have asked for U.S. $300 million in reparations from Japan.

13. The prompt participation of the United Kingdom and Dominion Governments in American action in Korea is seen in Formosa as aligning Britain directly on the side of America in a firm stand against communism in Asia. Regarding themselves as in the forefront of the resistance against Communist aggression, the Nationalists are now wishfully thinking that Britain will abandon its attempts to establish relations with Peking and return to the Nationalist fold. A marked change in the Nationalist attitude towards Britain is therefore already apparent. On 20th June Chiang Kai-shek broadcast to overseas Chinese, particularly in Malaya, urging that they aid the liberation of their motherland from communism. He also advised them to lend their full support to the efforts of the Governments of the countries where they resided to suppress Communist insurrection.

14. The British ship *Taichungshan,* which was under detention at Takow, was finally released on 14th June, thirty-seven days after the order for her release had been issued. In the meantime another British ship, the *Jeep Hee,* was detained at Quemoy on 12th June while trying to enter Amoy. She was released on 28th June, the day of the Truman statement, after only a fortnight's detention. It has just come to light that a further British registered ship, the *Nambee,* was intercepted by a Nationalist gunboat in June and is still under detention at Tachau in the Tachen Islands near the Yangtse. Nationalists have denied that one of their warships was responsible for the shelling of the British ship s.s. *Cheung Hing* as she left Amoy on 5th June and placed the responsibility on Communist shore batteries. The British master and officers of the Chinese ship *Chongya* are still on their detained vessel at Takow, but the Provincial Government have assured that if the ship is not released they will be turned over to His Majesty's Consul for repatriation. The s.s. *Caduceus* has now been under detention for four and a half months but there are indications that she will soon be released.

15. Another British ship, s.s. *Anhwei,* was sunk by a mine in Swatow and two foreign flag ships, Greek and Panamanian, sank after hitting mines in the Yangtse. When the British ship *Hangyang* went to the rescue of the *Anhwei* both ships were subjected to Nationalist air attacks. H.M.S. *Hart* opened fire on the attacking planes but this incident caused remarkably little reaction in Formosa. The air force communiqué referred merely to an attack by an unidentified gunboat. A warning had already been issued by the air force that air attacks were to be stepped up and that the Nationalists would not be responsible for damage to foreign shipping—a further statement was issued by the Nationalist Minister for Foreign Affairs on 26th June, warning foreign warships to keep out of territorial waters as the blockade was to be intensified. It is to be hoped that the acceptance of the Truman proposals has now radically altered the situation.

16. The Chinese Nationalist Government have announced their withdrawal from the International Civil Aviation Organisation.

17. The Chinese Nationalist Ministry for Foreign Affairs is to issue a White Paper in July on the economic aggression against Sinkiang by Soviet Russia. According to reports from the China News Agency Russia has now supplied 225 fighter aircraft to the Chinese Communists, including seventy jets, and has promised a further 375, 2,000 Russian technicians have arrived at Foochow for airfield construction and 20 Russian advisers have arrived in the Chusans.

18. Internally the Nationalists have continued their efforts to improve the economic situation, tighten up security and maintain morale. Despite rises in foreign currency quotations on the black market the stability of the currency has been maintained and the cost of living dropped by about 2 per cent. in June. There has been a wave of executions: General Wu Shih, former deputy Chief of Staff, the leader of the Communist ring exposed last February, was shot on 10th June with his three principal accomplices, Lieutenant-General Chen Pao-tsang, formerly deputy Chief of Staff of the Fourth Army, a colonel and a woman Communist contact. Six Communist spies in the police force have been shot and a number sentenced to imprisonment. A naval lieutenant who defected to the Communists has been shot. Finally on 17th June General Chen Yi, the infamous Governor of Formosa who was responsible for the bloody suppression of the 28th February uprising in 1947, was executed on a charge of collaboration with the Communists. It is generally believed that the execution was designed as a means of winning Formosan support. Thousands of Formosans, who flocked to the execution ground to offer sacrifices to their murdered relatives, were disappointed because the execution was held in secret elsewhere, and many in consequence have expressed doubt as to whether he was really shot. Three Generals have also been sentenced to long prison terms for failure to carry out their military duty.

19. Chiang Kai-shek has ordered the execution of corrupt officials and military officers. A campaign is also being waged against the Taiwan Sugar Corporation, Nationalist China's principal source of foreign exchange. The assistant manager has been accused of graft and has broken bail and fled to Hong Kong. The manager has now been arrested and is charged with Communist collaboration. It is known that the Central Government has long been trying to lay its hands on this Provincial Government asset and that these two officials were the main obstacle to their designs. The charges may therefore be somewhat prejudiced. Publicity has also been given to the alleged disappearance of U.S. $5 million worth of former puppet jewels which had been placed in charge of the Central Trust by the Shanghai Alien Property Administration for transfer to Formosa.

FC 1106/18 No 32

BRITISH COMMERCIAL INTERESTS IN CHINA

Improvement in Conditions

Acting Consul-General Shanghai to Mr. Bevin (Received 19th July)

(No 710 Confidential) Shanghai
(Telegraphic) 19th July, 1950

Your telegram No 1060

You will no doubt discuss this question with John Keswick now in Peking.

2. Other business men agree that there has been a lessening of difficulties recently, for reasons you mention. They do not think, however, that there has been any fundamental progress. They believe that by taxation and levies the victory bonds profit making will not be possible, still less remittance abroad. Staff shows no change. Exit permits generally appear somewhat easier to obtain but there is still a number of apparently arbitrary exceptions, and entry permits, without which many exit permits are useless, are still rare.

3. Nevertheless my impression is that, in view of the present business improvement and also of the present political situation, British business men here feel we are not at the moment in a good position to press the People's Government.

[illegible] politically and economically from the Korean war. On the short term this may be true, but politically in a strategic position where America is concerned, and financially her exchequer bids fair to reap a rich harvest of dollars as a result of the material advance which she will increasingly be called upon to render to the American armed forces. But who can say whether this war in Korea, which is proving profitable to her at present, may not in the long run bring her more grief than joy? If I stood in Honduras shoes, I might well evince some satisfaction on the short-term but I should look with considerable anxiety upon the uncertainties of the future.

I have, &c.

A. GASCOIGNE

F 1022/28 No. 21

VISIT OF THE AUSTRALIAN PRIME MINISTER, MR. MENZIES, TO JAPAN

His Views on Outstanding Problems in the Far East

Sir A. Gascoigne to Mr. Bevin. (Received 29th August)

(No. 266. Secret) *Tokyo,*
Sir, *17th August,* 1950.

I asked the Australian Prime Minister to-day, after he had lunched with me at this embassy, whether he would favour me with an account of the reasons which had prompted him to come here, and also tell me about the results of his visit. Mr. Menzies had just come from a two-hour conference with the Supreme Commander, and he was about to leave Japan for New Zealand by air.

2. The Prime Minister told me that he had decided rather suddenly to visit Japan with the following objectives in view: —

(*a*) To inspect Australian troops.

(*b*) To pay his respects to General MacArthur, and to obtain the latter's overall views on—

(i) Japan,
(ii) Korea,
(iii) Formosa.

3. As regards his visit to Kure and Iwakuni (the two centres in South-West Japan which are occupied respectively by Australian troops and the Australian Air Force), Mr. Menzies expressed the greatest satisfaction. He said that he felt immensely proud of the bearing and discipline of his officers and men, and he praised Lieutenant-General Robertson very highly for the work which he had performed as Commander-in-Chief of the British Commonwealth Occupation Force since June 1946. I took the opportunity here to say how much I appreciated General Robertson's never-failing assistance to me in material ways, and I also laid emphasis upon the excellent work which

4. As regards his interview with the Supreme Commander, Mr. Menzies told me the General had performed as the Commander of the mixed Commonwealth force. that he had been given ample opportunity to set forth his own views to MacArthur, and that the latter had agreed with most of them. He then gave me the following review of the general situation as he saw it, in the same way as he had given it to MacArthur.

5. In the first place, he said, he wished to preface his more specialised remarks about the Far East by giving me his candid opinion on the United Nations. The United Nations was a multilateral organisation (and he hated multilateral organs) which rested on insecure foundations. In actual fact, only a very few of the member nations counted or could be relied upon; he did not believe in the practical value of a large combination of States such as this was. He then cited the British Commonwealth, the United States and France (" if only her belief in herself and some of her former world prestige could be re-established ") as the countries which formed the solid core of the United Nations, and he reiterated his former remark by stating that, in these dangerous days, it was essential for those nations that were really sound and reliable themselves to combine together to face the Communist danger.

6. Mr. Menzies said that he himself disagreed with the decisions which had been taken regarding Korea by the United States and the United Nations. However, once these decisions had been taken and put into force by the United States, it was Australia's business to back them up to the hilt; he meant to do just that, and to put Australian

ground troops into Korea as soon as possible. But Korea was completely useless to us strategically and for that reason it was, in his opinion, one of those areas that should not have been fought for. If the present war in Korea was to be confined to a fight against the North Koreans, it would certainly be concluded successfully, and, in his opinion, probably sooner than most people seemed to think. But if the yellow hordes from beyond the Yalu and the Tumen were to descend upon us, our position " on that small Southern tit " of the peninsula might well be untenable. In this connexion I should explain that Mr. Menzies did not appear to think that the Red Chinese would in fact intervene.

7. As for Formosa, Mr. Menzies said that he himself looked upon this purely from the strategical angle: Was it or was it not essential for the Allies to deny the use of Formosa to the Communists? He had asked MacArthur what he felt about the strategic position of this island, and the latter had said (as he has always said to me) that it was indeed essential that it should not be used by the Reds. With this opinion of MacArthur's Mr. Menzies had fully agreed; at the same time he told me that he thought that MacArthur had gone too far when he had repaired recently to Taipeh to hold conversations with the Generalissimo, and had " put on that foolish act of kissing Madame Chiang Kai-shek's hand."

8. Coming nearer home, Mr. Menzies said that he had asked MacArthur what he felt about re-arming Japan, and that the latter had replied that, while Japan must have a numerically strong and efficient police force, he did not believe that she should be re-armed. With this, however, Mr. Menzies had disagreed. The Japanese were the most vital people in Asia; we must either be their friends or their enemies. If Japan were not to be permitted to have an army of her own to defend her territory, American troops must carry this out, and much-needed forces from the United States would have to be diverted from Western theatres. Therefore, in Mr. Menzies' opinion, the Japanese should be permitted to raise a defensive force to protect their shores; he meant to say this in due course to his own people in Australia, but he expected that he would get a rough reception.

9. Mr. Menzies then spoke of Stalin and of the latter's objectives. First and foremost, he said, one thing was quite certain, and that was that Stalin did not wish to see some two hundred of his own cities blasted to bits by our atom bombs. Stalin was bent upon initiating provocative actions by his satellites with a view to causing Allied forces to be spread throughout the world " penny packet-wise." If we played his game and allowed our troops, navies and air forces to be globally dissipated in this manner, the day would surely come when the Kremlin would be in a position to say to us that we should either have to bow to Russia's wishes or Russia would march on a virtually defenceless Middle East and a much weakened Western Europe. What Menzies would like to see, and indeed what he intended to propose, was that a conference should be held as soon as possible between the Chiefs of Staff of certain of the Commonwealth countries (he cited especially the United Kingdom, Canada, Australia, New Zealand and " perhaps South Africa "—but he was not so sure about the latter), whose terms of reference should be to concert together and to present to their respective Governments a report upon which of the danger spots in the world (Formosa, Hong Kong, Philippines, Dutch Indies, Malaya, Thailand, Burma, Persia, Turkey, Greece, Berlin) were strategically essential to the Democracies, and which were not. The Heads of the countries concerned ought then, he thought, to make up their minds to resist any Communist aggressions staged against those areas which were considered really vital, but to refrain from becoming involved in such areas as were not. Here again he referred to the Korean incident, which he himself evidently bitterly regretted, even though he was determined to achieve victory there by assisting the Americans with all the means in his possession.

10. Throughout this conversation Mr. Menzies interlarded his remarks with emphatic and, as far as I could see, sincere praise of the United Kingdom. For instance, he said, " It takes us Australians to help the Americans in Korea now that they have become committed there, but I do not see that it is an United Kingdom responsibility; the United Kingdom has been fully committed in Malaya for years, and she has now heavy responsibilities at Hong Kong." He told me, also, that when he had been in the United States very recently he had noticed, with surprise, how many Americans whom he had met there (presumably high officials) had been wont to criticise their troops now fighting in Korea for the poor show that they were putting up. He had been concerned about this, and at a public function he had rebuked those

people by stating that, in his opinion, American troops in Korea were carrying out a most difficult operation and performing it with magnificent courage and endurance; he had then pointed out that no nation in the world had a more intimate knowledge of initial defeat in war than Great Britain, and had expressed the hope that the Americans would in the course of time and experience learn how to take these primary reverses. I mention this particularly because from what some of the high American officials in Tokyo have said to me, it is at least high time that they should be made to realise two obvious facts: —

(*a*) That the aggressor always has the initial advantage.

(*b*) That in two world wars it was the British Commonwealth of Nations that had to bear the bitter disappointments and sufferings caused by the first crushing onslaught of the aggressor.

11. Mr. Menzies wound up his statements to me by saying that he had wished to give me his views on the general situation not because of their intrinsic importance or value, but because MacArthur had agreed with them generally, and he thought that it was important for me to know that. One exception to this, of course, is the question of the re-arming of Japan. MacArthur apparently disagreed with Menzies on this problem, which, with his mind fixed on the Japanese Constitution (which, incidentally, came from his own pen) MacArthur has not yet admitted overtly as being desirable.

12. As for MacArthur's part of the conversation, I gathered that Mr. Menzies had had to listen to the Supreme Commander's No. 1 lecture, which he is wont to give to distinguished visitors, on the positive results of his work in this country, with special reference, of course, to the fruits of his democratic teachings. Mr. Menzies made it quite clear to me that this " flip-flap " from MacArthur had been taken by him with reserve; he ridiculed the idea that Democracy could have come to Japan overnight and to stay. I note, from Reuter reports of 19th August, that suggestions have been made that the two men are said to have made a " Pacific deal " consisting of a plan to resist communism whereby Australia would be accorded the role of senior partner with Japan as a potential junior partner and the United States acting as patron of the new line up. If this was touched upon, Mr. Menzies did not mention it to me, and I have not been able to secure any confirmation of it locally.

13. Much of what Mr. Menzies told me, as I have reported it above, will be already known to you, for I expect that he had ample opportunity to give you his views during his recent visit to London. I was most deeply impressed by the frank and friendly manner in which he spoke to me, and by the confidence which he seemed to place in me by this candid exposition of his views, not all of which are, perhaps, strictly orthodox. I was greatly surprised, for instance, that he favoured limited re-armament for Japan; for the Australian Prime Minister to take the initiative to mention such a move is indeed noteworthy. His criticism " of the practical present-day usefulness of the United Nations " was also interesting to me; but, in making his observations on this question, he was doubtless thinking mainly on the short term; he was looking for a satisfactory solution to the urgent requirements of the present day. Mr. Menzies is much too astute and intelligent a man not most fully to understand that the fundamental long-term principles underlying the United Nations organisation provide our only life-line for the future.

14. Of a Japanese peace, Mr. Menzies said little, but I gathered that he favoured an early settlement on a friendly basis. He was careful, however, when he spoke of this to me to indicate that that was the general opinion of the British Commonwealth of Nations, and I hear from the United States Minister that his, Mr. Menzies', decision on this question may only be made after further consultation with his representative here and his Ministers at home.

15. Copies of this despatch are being transmitted to His Majesty's Representatives at Washington, Canberra and Singapore.

I have, &c.

A. GASCOIGNE.